

Tata Consultancy Services Ltd

Nifty 100 Company Tearsheet | TCS

Information Technology | Tata Consultancy Services is the flagship company and a part of Tata group. It is an IT services, consulting and business solutions organization that has been partnering with many of the world's largest businesses in their transformation journeys for over 50 years. TCS offers a consulting-led, cognitive powered, integrated portfolio of business, technology and engineering services and solutions.

ROE

50.9%

ROCE

65.3%

Debt / Equity

0.09

Revenue CAGR 5Y

10.5%

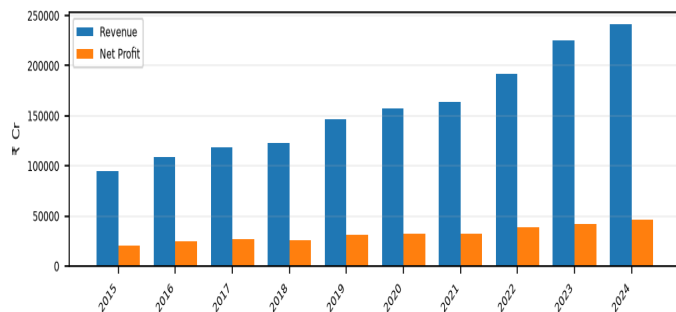
PAT CAGR 5Y

7.9%

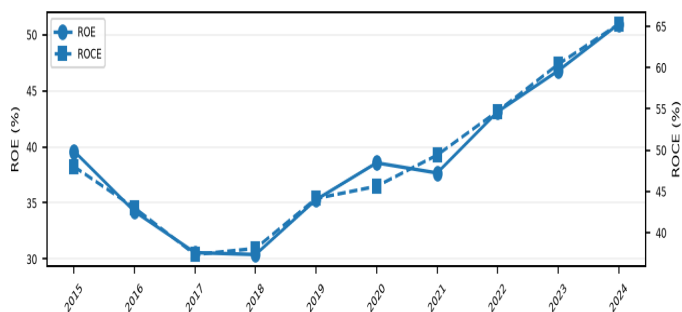
Free Cash Flow

■50,429 Cr

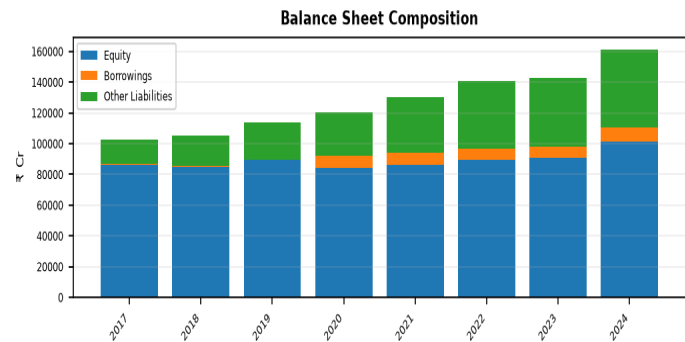
10-Year Revenue and Net Profit



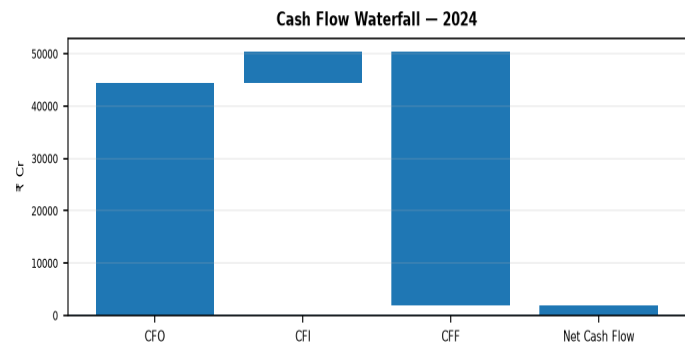
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure

CAPITAL ALLOCATION: Liquidating Assets